

not prepared, financially or mentally, for the inevitable loss if fortune should frown on the venture. The speculator who wants to reduce his risk by operating in convertible issues is likely to find his primary interest divided between the enterprise itself and the terms of the privilege, and he will probably be uncertain in his own mind as to whether he is at bottom a stockholder or a bondholder. (Privileged issues *selling at substantial discounts from par* are not in general subject to this principle, since they belong to the second category of speculative senior securities to be considered later.)

Reverting to our examples, it will be seen at once that the Commonwealth Edison 3¹/₂s could properly have been purchased as an investment without any regard to the conversion feature. The strong possibility that this privilege would be of value made the bond almost uniquely attractive at the time of issuance. Somewhat similar statements could be made with respect to the Chesapeake and Ohio and the Rand Kardex bonds. Any of these three securities should also have been attractive to a speculator who was persuaded that the related common stock was due for an advance in price.

On the other hand the National Trade Journals Debentures could not have passed stringent qualitative and quantitative tests of safety. Hence they should properly have been of interest only to a person who had full confidence in the future value of the stock. It is hardly likely, however, that most of the buying of this issue was motivated by the primary desire to invest or speculate in the National Trade Journals common stock, but it was based rather on the attractive terms of the conversion privilege and on the feeling that the issue was "fairly safe" as a bond investment. It is precisely this compromise between true investment and true speculation that we disapprove, chiefly because the purchaser has no clear-cut idea of the purpose of his commitment or of the risk that he is incurring.

Rules Regarding Retention or Sale. Having stated a basic principle to guide the *selection* of privileged issues, we ask next what rules can be established regarding their subsequent retention or sale. Convertibles bought primarily as a form of commitment in the common stock may be held for a larger profit than those acquired from the investment standpoint. If a bond of the former class advances from 100 to 150, the large premium need not in itself be a controlling reason for selling out; the owner must be guided rather by his views as to whether or not the common stock has